COVER SHEET

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S.E.C. Registration Number

H A U S T A L K , I N C .

(Company's Full Name)

U N I T 7 0 1 O R I E N T S Q U A R E

B L D G ., F . O R T I G A S J R . R D .

O R T I G A S C E N T E R

P A S I G C I T Y

(Business Address: No. Street City / Town / Province)

Maria Agnes M. Siapno

Contact Person

(632) 8634 8712

Company Telephone Number

1 2	3 1	SEC FORM 17-Q	July	Last Wed
Month	Day	FORM TYPE	Month	Day
Fiscal Year			Annual Meeting	

Secondary License Type, If Applicable

MSRD

Dept. Requiring this Doc.

Amended Articles Number/ Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **September 30, 2025**

2. Commission identification number **CS200409462**   3. BIR Tax Identification No **233-687-508**

4. Exact name of issuer as specified in its charter **HAUS TALK, INC.**

5. **Metro Manila, Philippines**
   Province, country or other jurisdiction of incorporation or organization

6. Industry Classification Code: [   ] (SEC Use Only)

7. **Unit 701 Orient Square Bldg. F. Ortigas Jr. Ortigas Center, Pasig City**   **1605**
   Address of issuer's principal office   Postal Code

8. **(02) 8636-6929**
   Issuer's telephone number, including area code

9. **N/A**
   Former name, former address and former fiscal year, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
Common Shares	**2,500,000,000**

11. Are any or all of the securities listed on a Stock Exchange?

    Yes [√] No [ ]

    If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

    Philippine Stock Exchange   **Common Shares**

12. Indicate by check mark whether the registrant:

    (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

    Yes [√] No [ ]

    (b) has been subject to such filing requirements for the past ninety (90) days.

    Yes [√] No [ ]

PART I--FINANCIAL INFORMATION

Item 1. Financial Statements.

HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
As of the period ended September 30, 2025 & 2024 (Unaudited) & December 31, 2024 (Audited)
(In Philippine Peso)

	Sept. 30,		December 31,
ASSETS	**2025**	**2024**	**2024**
CURRENT ASSETS			
Cash	104,003,213	74,627,797	244,377,548
Receivables	2,001,924,194	1,770,862,439	1,610,423,916
Real estate inventories	3,630,014,080	2,825,689,799	2,948,626,556
Prepayments and other current assets	3,548,798	7,986,191	7,403,681
Total Current Assets	**5,739,490,285**	**4,679,166,226**	**4,810,831,701**
NON-CURRENT ASSETS			
Receivables - net of current portion	112,891,037	83,231,620	79,928,610
Property and equipment - net	1,072,100,341	1,064,138,480	1,075,445,189
Other non-current asset	30,525,557	24,407,040	30,535,837
Total Non-Current Assets	**1,215,516,935**	**1,171,777,140**	**1,185,909,636**
TOTAL ASSETS	**6,955,007,220**	**5,850,943,367**	**5,996,741,337**
LIABILITIES AND EQUITY			
CURRENT LIABILITIES			
Accounts and other payables	167,465,941	312,732,869	235,422,607
Income tax payable	5,468,549	-	-
Lease Liability- Current			
Loans and borrowings - current portion	1,073,161,334	104,277,997	782,700,538
Total Current Liabilities	**1,246,095,824**	**417,010,866**	**1,018,123,145**
NON-CURRENT LIABILITIES			
Loans and borrowings - net of current portion	1,407,588,439	1,448,926,989	974,138,084
Advances from related parties	168,159,120	174,425,348	173,928,719
Defined benefit obligation	12,703,551	7,094,630	12,703,551
Total Non-Current Liabilities	**1,588,451,110**	**1,630,446,967**	**1,160,770,354**
EQUITY			
Share capital	2,500,000,000	2,500,000,000	2,500,000,000
Share premium	218,849,628	218,849,628	218,849,628
Retained earnings	1,390,599,683	1,070,860,645	1,087,987,235
Actuarial gain on defined benefit obligation	11,010,975	13,775,261	11,010,975
Total Equity	**4,120,460,286**	**3,803,485,534**	**3,817,847,838**
TOTAL LIABILITIES AND EQUITY	**6,955,007,220**	**5,850,943,367**	**5,996,741,337**

HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
As of the period ended September 30, 2025 & 2024 (Unaudited) & December 31, 2024 (Audited)

(In Philippine Peso)

	Sept. 30,		December 31,
REVENUE	**2025**	**2024**	**2024**
Real estate sales	1,201,062,150	1,190,558,655	1,401,027,854
Other operating income	8,778,805	8,397,421	12,491,008
Total Revenue	**1,209,840,955**	**1,198,956,076**	**1,413,518,862**
COST OF REAL ESTATE SALES	**660,418,895**	**646,276,084**	**772,604,842**
GROSS PROFIT	**549,422,060**	**552,679,992**	**640,914,020**
OPERATING EXPENSES			
Selling expenses	63,462,492	99,729,759	65,274,869
General and administrative expenses	170,291,796	140,482,538	181,076,145
Total Operating Expenses	**233,754,288**	**240,212,297**	**246,351,014**
NET OPERATING INCOME	**315,667,772**	**312,467,696**	**394,563,006**
FINANCE COST, NET	**1,977,507**	**9,366,126**	**31,471,214**
INCOME BEFORE TAX	**313,690,265**	**303,101,569**	**363,091,792**
INCOME TAX EXPENSE	- 11,077,818	- 3,414,661	3,721,704
NET INCOME	**302,612,447**	**299,686,908**	**366,813,496**
OTHER COMPREHENSIVE INCOME			
Actuarial gain (loss) on retirement plan	- 2,764,286	10,439,443	- 2,764,286
TOTAL COMPREHENSIVE INCOME (LOSS)	**299,848,161**	**310,126,351**	**364,049,210**
BASIC EARNINGS PER SHARE	0.121	0.120	0.147

HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
For the period ending Sept. 30, 2025 & 2024 (Unaudited) and December 31, 2024 & 2023 (Audited)
(In Philippine Peso)

	Share Capital	Share Premium	Retained Earnings	Acturial gain (loss) on defined benefit obligation	Total
BALANCE AT DECEMBER 31, 2023	**2,500,000,000**	**218,849,628**	**771,173,737**	**13,775,261**	**3,503,798,626**
Net income			41,813,848		41,813,848
BALANCE AT MARCH 31, 2024	**2,500,000,000**	**218,849,628**	**812,987,585**	**13,775,261**	**3,545,612,474**
Net income			85,928,060		85,928,060
BALANCE AT JUNE 30, 2024	**2,500,000,000**	**218,849,628**	**898,915,645**	**13,775,261**	**3,631,540,534**
Net income			171,945,000		171,945,000
BALANCE AT SEPTEMBER 30, 2024	**2,500,000,000**	**218,849,628**	**1,070,860,645**	**13,775,261**	**3,803,485,534**
Dividend declared			- 50,000,000		- 50,000,000
Net income			67,126,590		67,126,590
Other comprehensive income				- 2,764,286	- 2,764,286
BALANCE AT DECEMBER 31, 2024	**2,500,000,000**	**218,849,628**	**1,087,987,235**	**11,010,975**	**3,817,847,838**
Net income			52,152,864		52,152,864
BALANCE AT MARCH 31, 2025	**2,500,000,000**	**218,849,628**	**1,140,140,099**	**11,010,975**	**3,870,000,702**
Net income			93,726,236		93,726,236
BALANCE AT JUNE 30, 2025	**2,500,000,000**	**218,849,628**	**1,233,866,335**	**11,010,975**	**3,963,726,938**
Net income			156,733,348		156,733,348
BALANCE AT SEPTEMBER 30, 2025	**2,500,000,000**	**218,849,628**	**1,390,599,683**	**11,010,975**	**4,120,460,286**

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HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF CASH FLOW
For the period ended September 30, 2025 & 2024 (Unaudited) & December 31, 2024 (Audited)
(In Philippine Peso)

	Sept. 30,		December 31,
CASH FLOWS FROM OPERATING ACTIVITIES	**2025**	**2024**	**2024**
Income before tax	313,690,265	303,101,569	363,091,792
Adjustments for:			
Prior period adjustment	-	-	-
Interest expense - bank loans	2,009,397	9,366,126	27,504,052
Interest expense - defined benefit obligation			431,833
Retirement expense			2,412,802
Interest income earned	- 31,890	- 41,511	- 65,047
Depreciation	10,672,651	7,871,837	10,979,777
Operating income before changes in working capital	326,340,424	320,298,021	404,355,209
Changes in assets and liabilities:			
Increase in receivables	- 424,462,705	- 750,389,088	- 586,647,555
Decrease (Increase) in real estate inventories	- 681,387,524	- 198,874,718	- 321,811,475
Decrease (Increase) in prepayments and other current assets	3,854,883	4,053,297	4,635,807
Decrease in other non-current assets	10,280	- 5,686,685	- 5,821,530
Increase (Decrease) in accounts and other payables	-67,956,666	92,158,866	14,848,604
Decrease in advances to related parties			-
Defined benefit obligation			-
Cash generated from operations	- 843,601,308	- 538,440,307	- 490,440,940
Interest received	31,890	41,511	65,047
Income taxes paid	- 5,468,549	- 3,414,661	- 2,272,245
Net Cash from Operating Activities	**- 849,037,968**	**- 541,813,457**	**- 492,648,138**
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of property and equipment	- 7,468,522	- 25,472,055	- 39,886,704
Acquisition of intangible assets			
Dividend declaration			- 50,000,000
Net Cash from Investing Activities	**- 7,468,522**	**- 25,472,055**	**- 89,886,704**
CASH FLOWS FROM FINANCING ACTIVITIES			
Additions to loans and borrowings	**723,911,151**	**442,797,533**	**646,431,169**
Additional advances from related parties			-
Payment of advances from related parties	- 5,769,599	- 3,373,517	- 3,870,146
Interest paid	- 2,009,397	- 9,366,126	-
Issuance of shares			- 27,504,052
Net Cash from Financing Activities	**716,132,155**	**430,057,890**	**615,056,971**
NET INCREASE(DECREASE) IN CASH	**- 140,374,335**	**- 137,227,622**	**32,522,129**
CASH, BEGINNING	**244,377,548**	**211,855,419**	**211,855,419**
CASH, END	**104,003,213**	**74,627,797**	**244,377,548**

HAUS TALK, INC. AND ITS SUBSIDIARIES
As of the period ended Sept. 30, 2025 & 2024 (Unaudited) and December 31, 2024 (Audited)
SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS AS REQUIRED BY REVISED SRC RULE 68 ANNEX 68-E

	As of Sept. 30, 2025	As of Sept. 30, 2024	As of Dec. 31, 2024
Current Ratio			
Total current assets	5,739,490,285	4,679,166,226	4,810,831,701
Divided by: Total current liabilities	1,246,095,824	417,010,866	1,018,123,145
Current ratio	**4.61**	**11.22**	**4.73**
Acid test ratio			
Total current assets	5,739,490,285	4,679,166,226	4,810,831,701
Less: Other current assets	3,633,562,878	2,833,675,990	2,956,030,237
Quick assets	2,105,927,407	1,845,490,236	1,854,801,464
Divide by: Total current liabilities	1,246,095,824	417,010,866	1,018,123,145
Acid test ratio	**1.69**	**4.43**	**1.82**
Solvency Ratio			
Net income	302,612,447	299,686,908	366,813,496
Add: Depreciation	10,672,651	7,871,837	10,979,777
Total	313,285,098	307,558,745	377,793,273
Divide by: Total liabilities	2,834,546,934	2,047,457,833	2,178,893,499
Solvency ratio	**0.11**	**0.15**	**0.17**
Debt-to-Equity Ratio			
Total liabilities	2,834,546,934	2,047,457,833	2,178,893,499
Divided by: Total Equity	4,120,460,286	3,803,485,534	3,817,847,838
Debt-to-equity ratio	**0.69**	**0.54**	**0.57**
Asset-to-equity ratio			
Total assets	6,955,007,220	5,850,943,367	5,996,741,337
Divided by: Total equity	4,120,460,286	3,803,485,534	3,817,847,838
Asset-to-equity ratio	**1.69**	**1.54**	**1.57**
Interest rate coverage ratio			
Income before income tax	313,690,265	303,101,569	363,091,792
Add: Interest expense	1,977,507	9,366,126	31,471,214
Total	315,667,772	312,467,695	394,563,006
Divided by: Interest expense	1,977,507	9,366,126	31,471,214
Interest rate coverage ratio	**159.63**	**33.36**	**12.54**

Return on average equity

Net income	302,612,447	299,686,908	366,813,496
Divided by: Average total capital accounts	3,961,972,910	3,612,151,907	3,660,823,233
Return on equity	**0.08**	**0.08**	**0.10**

Return on average assets

Net income	302,612,447	299,686,908	366,813,496
Divided by: Average total assets	6,402,975,294	5,220,478,511	5,508,207,458
Return on average assets	**0.05**	**0.06**	**0.07**

Net profit margin

Net income	302,612,447	299,686,908	366,813,496
Net sales	1,201,062,150	1,190,558,655	1,401,027,854
Net profit margin	**0.25**	**0.25**	**0.26**

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Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

A. Financial Condition

HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
As of the period ended September 30, 2025 & 2024 (Unaudited) & December 31, 2024 (Audited)
(In Philippine Peso)

			Horizontal Analysis- Sept. '25 vs. Dec '24		Vertical Analysis- Sept. '25 vs. Dec '24	
ASSETS	**Sept. 30, 2025**	**Dec. 31, 2024**	**Amount**	**%**	**%**	**%**
CURRENT ASSETS						
Cash	104,003,213	244,377,548	-140,374,335	-57.44%	1.50%	4.08%
Receivables	2,001,924,194	1,610,423,916	391,500,278	24.31%	28.78%	26.85%
Real estate inventories	3,630,014,080	2,948,626,556	681,387,524	23.11%	52.19%	49.17%
Prepayments and other current assets	3,548,798	7,403,681	- 3,854,883	-52.07%	0.05%	0.12%
Total Current Assets	**5,739,490,285**	**4,810,831,701**	**928,658,584**	**19.30%**	**82.52%**	**80.22%**
NON-CURRENT ASSETS						
Receivables - net of current portion	112,891,037	79,928,610	32,962,427	41.24%	1.62%	1.33%
Property and equipment - net	1,072,100,341	1,075,445,189	- 3,344,848	-0.31%	15.41%	17.93%
Other non-current asset	30,525,557	30,535,837	- 10,280	-0.03%	0.44%	0.51%
Total Non-Current Assets	**1,215,516,935**	**1,185,909,636**	**29,607,299**	**2.50%**	**17.48%**	**19.78%**
TOTAL ASSETS	**6,955,007,220**	**5,996,741,337**	**958,265,883**	**15.98%**	**100.00%**	**100.00%**
LIABILITIES AND EQUITY						
CURRENT LIABILITIES						
Accounts and other payables	167,465,941	235,422,607	- 67,956,666	-28.87%	2.41%	3.93%
Income tax payable	5,468,549	-	5,468,549		0.08%	0.00%
Lease Liability- Current			-		0.00%	0.00%
Loans and borrowings - current portion	1,073,161,334	782,700,538	290,460,796	37.11%	15.43%	13.05%
Total Current Liabilities	**1,246,095,824**	**1,018,123,145**	**227,972,679**	**22.39%**	**17.92%**	**16.98%**
NON-CURRENT LIABILITIES						
Loans and borrowings - net of current portion	1,407,588,439	974,138,084	433,450,355	44.50%	20.24%	16.24%
Advances from related parties	168,159,120	173,928,719	- 5,769,599	-3.32%	2.42%	2.90%
Defined benefit obligation	12,703,551	12,703,551	-	0.00%	0.18%	0.21%
Total Non-Current Liabilities	**1,588,451,110**	**1,160,770,354**	**427,680,756**	**36.84%**	**22.84%**	**19.36%**

EQUITY						
Share capital	2,500,000,000	2,500,000,000	-	0.00%	35.95%	41.69%
Share premium	218,849,628	218,849,628	-	0.00%	3.15%	3.65%
Retained earnings	1,390,599,683	1,087,987,235	302,612,448	27.81%	19.99%	18.14%
Actuarial gain on defined benefit obligation	11,010,975	11,010,975	-	0.00%	0.16%	0.18%
Total Equity	**4,120,460,286**	**3,817,847,838**	**302,612,448**	**7.93%**	**59.24%**	**63.67%**
TOTAL LIABILITIES AND EQUITY	**6,955,007,220**	**5,996,741,337**	**958,265,883**	**15.98%**	**100.00%**	**100.00%**

Financial position as of September 30, 2025 (Unaudited) vs. Full Year (FY) of 2024 (Audited)

The cash balance decreased by 57.44% or Php140.37 million mainly due to property development property acquisition costs incurred during the period.

Receivables (current portion) increased by 24.31% to Php 391.50 million, driven primarily by sales from the Granary project in Biñan, Laguna. Receivables (non-current portion) likewise increased by 41.24% to Php 32.96 million, also attributable to sales from the same project.

Real estate inventories increased by 23.11% or Php 681.39 million primarily due to land acquisition, land development, and house construction for the Granary project in Binan, Laguna.

Prepayments and other current assets decreased by 52.07%, or Php 3.85 million, mainly due to the application of prepaid income tax during the quarter.

Accounts and other payables decreased by 28.27%, or Php 67.96 million, primarily due to the settlement of outstanding obligations to suppliers and contractors during the period.

Current loans and borrowings increased by 37.11%, or Php 290.46 million, driven by additional borrowings to support ongoing project developments and working capital requirements. Loans and borrowings, net of the current portion, increased by 44.50%, or Php 433.45 million, primarily due to granted term loans and CTS loans to fund land development and construction activities for ongoing projects

Retained earnings grew by 27.81% or Php302.61 million consequents to the year-to-date net income.

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HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
As of the period ended December 31, 2024 & December 31, 2023 (Audited)
(In Philippine Peso)

	December 31,		Horizontal Analysis- Dec '24 vs. Dec '23		Vertical Analysis- Dec '24 vs. Dec '23	
ASSETS	**2024**	**2023**	**Amount**	**%**	**%**	**%**
CURRENT ASSETS						
Cash	244,377,548	211,855,419	32,522,129	15.35%	4.08%	4.22%
Receivables	1,610,423,916	1,022,237,233	588,186,683	57.54%	26.85%	20.36%
Real estate inventories	2,948,626,556	2,626,815,081	321,811,475	12.25%	49.17%	52.33%
Prepayments and other current assets	7,403,681	12,039,488	- 4,635,807	-38.51%	0.12%	0.24%
Total Current Assets	**4,810,831,701**	**3,872,947,221**	**937,884,480**	**24.22%**	**80.22%**	**77.16%**
NON-CURRENT ASSETS						
Receivables - net of current portion	79,928,610	81,467,738	- 1,539,128	-1.89%	1.33%	1.62%
Advances to related parties	-	-	-		0.00%	0.00%
Property and equipment - net	1,075,445,189	1,046,538,262	28,906,927	2.76%	17.93%	20.85%
Other non-current asset	30,535,837	18,720,357	11,815,480	63.12%	0.51%	0.37%
Total Non-Current Assets	**1,185,909,636**	**1,146,726,357**	**39,183,279**	**3.42%**	**19.78%**	**22.84%**
TOTAL ASSETS	**5,996,741,337**	**5,019,673,578**	**977,067,759**	**19.46%**	**100.00%**	**100.00%**
LIABILITIES AND EQUITY						
CURRENT LIABILITIES						
Accounts and other payables	235,422,607	220,574,003	14,848,604	6.73%	3.93%	4.39%
Income tax payable	-	-	-	-	0.00%	0.00%
Lease Liability- Current		-	-	-	0.00%	0.00%
Loans and borrowings - current portion	782,700,538	396,421,526	386,279,012	97.44%	13.05%	7.90%
Total Current Liabilities	**1,018,123,145**	**616,995,529**	**401,127,616**	**65.01%**	**16.98%**	**12.29%**
NON-CURRENT LIABILITIES						
Loans and borrowings - net of current portion	974,138,084	713,985,927	260,152,157	36.44%	16.24%	14.22%
Advances from related parties	173,928,719	177,798,865	- 3,870,146	-2.18%	2.90%	3.54%
Defined benefit obligation	12,703,551	7,094,630	5,608,921	79.06%	0.21%	0.14%
Total Non-Current Liabilities	**1,160,770,354**	**898,879,422**	**261,890,932**	**29.14%**	**19.36%**	**17.91%**
EQUITY						
Share capital	2,500,000,000	2,500,000,000	-	0.00%	41.69%	49.80%
Share premium	218,849,628	218,849,628	-	0.00%	3.65%	4.36%
Retained earnings	1,087,987,235	771,173,738	316,813,497	41.08%	18.14%	15.36%
Actuarial gain on defined benefit obligation	11,010,975	13,775,261	- 2,764,286	-20.07%	0.18%	0.27%
Total Equity	**3,817,847,838**	**3,503,798,627**	**314,049,211**	**8.96%**	**63.67%**	**69.80%**
TOTAL LIABILITIES AND EQUITY	**5,996,741,337**	**5,019,673,578**	**977,067,759**	**19.46%**	**100.00%**	**100.00%**

Financial Position as of December 31, 2024 and December 31, 2023

Haus Talk and its Subsidiaries posted total assets of ₱6.00B as of December 31, 2024, a net increase of 19.46%, from ₱5.02B as of year-end 2023. The company's cash increased by 15.35% or ₱32.52M and had an ending balance of ₱244.38M. The increase was derived from collections from prior year's and current year's sales and bank loan proceeds.

Current trade receivables increased by 57.54%, reaching ₱1.61B as of December 31, 2024, reflecting the sales generated during the year.

The prepayments and other current assets decreased by 38.51% or P4.64M due to amortization of the prepayments.

Other noncurrent assets increased by 63.12% or 11.82M due to the additional refundable deposits and increased deferred tax assets.

Accounts and other payables increased by ₱14.85M or 6.73%. The increase in accounts payable is attributed to the procurement of construction materials, supplies, and subcontracted services related to project unit construction and land development. Additionally, there was an increase in payables for brokers' commissions due to higher sales.

The current portion of loans and borrowings increased by 97.44% or P386.28M, primarily due to additional funding requirements for the construction and development of projects, as well as to finance land acquisition activities.

Likewise, loans and borrowings, net of the current portion, increased by 36.44% or ₱260.15 million, also driven by the funding requirements of existing projects and the acquisition of new properties.

The Defined Benefit Obligation increased by 79.06% or ₱5.61 million, primarily due to the higher number of employees, longer service periods, and salary adjustments, which led to an increase in benefits earned during the year.

Retained Earnings increased by P316.81 million, representing a growth of 41.08%, reflecting the rise in sales and income.

The actuarial gain on the defined benefit obligation decreased by P2.76 million, marking a decline of 20.07%, attributable to a change in assumption in actuarial valuation.

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B. Financial Operation

HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
For the period ended December 31, 2024 & December 31, 2023 (Audited)
(In Philippine Peso)

	December 31,		Horizontal Analysis- Dec '24 vs. Dec '23		Vertical Analysis- Dec '24 vs. Dec '23	
REVENUE	**2024**	**2023**	**Amount**	**%**	**%**	**%**
Real estate sales	1,401,027,854	1,011,106,834	389,921,020	38.56%	99.12%	96.32%
Other operating income	12,491,008	38,621,508	-26,130,500	-67.66%	0.88%	3.68%
Total Revenue	**1,413,518,862**	**1,049,728,342**	**363,790,520**	**34.66%**	**100.00%**	**100.00%**
COST OF REAL ESTATE SALES	**772,604,842**	**582,282,221**	**190,322,621**	**32.69%**	**54.66%**	**55.47%**
GROSS PROFIT	**640,914,020**	**467,446,121**	**173,467,899**	**37.11%**	**45.34%**	**44.53%**
OPERATING EXPENSES						
Selling expenses	65,274,869	58,522,753	6,752,116	11.54%	4.62%	5.58%
General and administrative expenses	181,076,145	125,684,011	55,392,134	44.07%	12.81%	11.97%
Total Operating Expenses	**246,351,014**	**184,206,764**	**62,144,250**	**33.74%**	**17.43%**	**17.55%**
NET OPERATING INCOME	**394,563,006**	**283,239,357**	**111,323,649**	**39.30%**	**27.91%**	**26.98%**
FINANCE COST, NET	**31,471,214**	**18,936,316**	**12,534,898**	**66.20%**	**2.23%**	**1.80%**
INCOME BEFORE TAX	**363,091,792**	**264,303,041**	**98,788,751**	**37.38%**	**25.69%**	**25.18%**
INCOME TAX EXPENSE	3,721,704	- 21,656,125	25,377,829	-117.19%	0.26%	-2.06%
NET INCOME	**366,813,496**	**242,646,916**	**124,166,580**	**51.17%**	**25.95%**	**23.12%**
OTHER COMPREHENSIVE INCOME						
Actuarial gain (loss) on retirement plan	- 2,764,286	10,439,443	- 13,203,729	-126.48%	-0.20%	0.99%
TOTAL COMPREHENSIVE INCOME (LOSS)	**364,049,210**	**253,086,359**	**110,962,851**	**43.84%**	**25.75%**	**24.11%**

Results of Financial Operation for the year ended December 31, 2024 & December 31, 2023

Haus Talk and its Subsidiaries posted total revenues of ₱1.40B for the year 2024, ₱389.92M or 38.56% growth from the ₱1.011B total revenues for the same period in 2023.

The increase in revenues was due to the sales generated majority from The Granary project in Laguna. Other operating income declined by ₱26.13 million or 67.66% compared to the previous year, primarily due to the decrease in in-house financing activities. The Company strategically reduced its in-house financing offerings and encouraged takeouts through Pag-IBIG Fund and bank financing.

Cost of sales amounted to ₱772.60M in 2024 which is ₱190.32M or 32.69% more than the ₱582.28M incurred in 2023. This is attributable to the increase in sales during the year.

Selling expenses amounting to ₱65.27 million and general and administrative expenses totaling ₱181.08 million increased by 11.54% and 44.07%, respectively. The increase in expenses was primarily driven by the growth in revenues and the Company's continued efforts to strengthen its support functions to sustain the Company's ongoing expansion. Additionally, the rise in general and administrative costs reflects higher manpower requirements and increased project-related activities.

Finance costs increased by 66.20% or ₱12.53 million, primarily due to the rise in loans and borrowings during the year.

Income tax expense decreased by ₱25.38 million, representing a 117.19% decline, primarily due to the availment of an income tax holiday granted under the Company's registration with the Board of Investments (BOI). The incentive was applied to the Granary Project, which served as the major contributor to the Company's revenue during the year.

The Company recorded a consolidated net income of ₱366.81 million, reflecting an increase of ₱124.17 million or 51.17% compared to the 2023 net income of ₱242.65 million.

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HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
For the three months period July to September 2025 & 2024 (Unaudited)
(In Philippine Peso)

	3 Mos. Interim Jul to Sept		**Horizontal Analysis- 3 Mos. Jul to Sept**		**Vertical Analysis- 3 Mos. Jul to Sept**	
REVENUE	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Real estate sales	599,285,950	620,836,655	-21,550,705	-3.47%	99.54%	99.60%
Other operating income	2,793,040	2,487,454	305,586	12.29%	0.46%	0.40%
Total Revenue	**602,078,990**	**623,324,109**	**- 21,245,119**	**-3.41%**	**100.00%**	**100.00%**
COST OF REAL ESTATE SALES	**317,831,239**	**335,828,439**	**- 17,997,200**	**-5.36%**	**52.79%**	**53.88%**
GROSS PROFIT	**284,247,751**	**287,495,670**	**- 3,247,919**	**-1.13%**	**47.21%**	**46.12%**
OPERATING EXPENSES						
Selling expenses	33,795,057	54,786,592	- 20,991,535	-38.32%	5.61%	8.79%
General and administrative expenses	82,216,184	54,833,358	27,382,826	49.94%	13.66%	8.80%
Total Operating Expenses	**116,011,241**	**109,619,950**	**6,391,291**	**5.83%**	**19.27%**	**17.59%**
NET OPERATING INCOME	**168,236,510**	**177,875,721**	**- 9,639,211**	**-5.42%**	**27.94%**	**28.54%**
FINANCE COST, NET	**547,838**	**5,167,898**	**- 4,620,060**	**-89.40%**	**0.09%**	**0.83%**
INCOME BEFORE TAX	**167,688,672**	**172,707,822**	**- 5,019,150**	**-2.91%**	**27.85%**	**27.71%**
INCOME TAX EXPENSE	- 10,955,324	- 762,822	- 10,192,502	1336.16%	-1.82%	-0.12%
NET INCOME	**156,733,348**	**171,945,000**	**- 15,211,652**	**-8.85%**	**26.03%**	**27.59%**
OTHER COMPREHENSIVE INCOME						
Actuarial gain (loss) on retirement plan	-	-	-		0.00%	0.00%
TOTAL COMPREHENSIVE INCOME (LOSS)	**156,733,348**	**171,945,000**	**- 15,211,652**	**-8.85%**	**26.03%**	**27.59%**
BASIC EARNINGS PER SHARE	0.063	0.069				

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Financial Operation for three-months period July to Sept 2025 vs. July to Sept 2024

Other operating income increased by 12.29%, or Php 0.30 million, primarily attributable to miscellaneous receivables from buyers related to non-trade accounts.

Selling expenses decreased by 38.32%, or Php 20.99 million, primarily due to lower marketing and commission expenses recognized during the period, in line with the timing of project launches and sales activities.

General and administrative expenses increased by 49.94%, or Php27.38 million, the adjustment of the salary structure for existing personnel, and other overhead expenses incurred to support company projects.

Finance costs decreased by 89.40%, or Php 4.62 million, primarily due to lower interest expenses resulting from loan repayments.

Income tax expense decreased by 1336%, or Php10.19 million, due to the tax holiday granted by the Board of Investments (BOI).

Net income decreased by 8.85%, or Php 15.21 million, mainly driven by a slight decline in sales combined with higher general and administrative expenses incurred during the period.

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HAUS TALK, INC. AND ITS SUBSIDIARIES
(formerly Haus Talk Project Managers, Inc. and its Subsidiary)
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
For the nine months period September 30, 2025 & 2024 (Unaudited)
(In Philippine Peso)

	Sept. 30,		Horizontal Analysis- 9 Mos. Jan to Sept		Vertical Analysis- 9 Mos. Jan to Sept	
REVENUE	**2025**	**2024**	**Amount**	**%**	**2025**	**2024**
Real estate sales	1,201,062,150	1,190,558,655	10,503,495	0.88%	99.27%	99.30%
Other operating income	8,778,805	8,397,421	381,384	4.54%	0.73%	0.70%
Total Revenue	**1,209,840,955**	**1,198,956,076**	**10,884,879**	**0.91%**	**100.00%**	**100.00%**
COST OF REAL ESTATE SALES	**660,418,895**	**646,276,084**	**14,142,811**	**2.19%**	**54.59%**	**53.90%**
GROSS PROFIT	**549,422,060**	**552,679,992**	**- 3,257,932**	**- 0.59%**	**45.41%**	**46.10%**
OPERATING EXPENSES						
Selling expenses	63,462,492	99,729,759	- 36,267,267	- 36.37%	5.25%	8.32%
General and administrative expenses	170,291,796	140,482,538	29,809,258	21.22%	14.08%	11.72%
Total Operating Expenses	**233,754,288**	**240,212,297**	**- 6,458,009**	**- 2.69%**	**19.32%**	**20.04%**
NET OPERATING INCOME	**315,667,772**	**312,467,696**	**3,200,076**	**1.02%**	**26.09%**	**26.06%**
FINANCE COST, NET	**1,977,507**	**9,366,126**	**- 7,388,619**	**- 78.89%**	**0.16%**	**0.78%**
INCOME BEFORE TAX	**313,690,265**	**303,101,569**	**10,588,696**	**3.49%**	**25.93%**	**25.28%**
INCOME TAX EXPENSE	- 11,077,818	- 3,414,661	- 7,663,157	224.42%	- 0.92%	- 0.28%
NET INCOME	**302,612,447**	**299,686,908**	**2,925,539**	**0.98%**	**25.01%**	**25.00%**
OTHER COMPREHENSIVE INCOME						
Actuarial gain (loss) on retirement plan	- 2,764,286	10,439,443	- 13,203,729	- 126.48%	- 0.23%	0.87%
TOTAL COMPREHENSIVE INCOME (LOSS)	**299,848,161**	**310,126,351**	**- 10,278,190**	**- 3.31%**	**24.78%**	**25.87%**
BASIC EARNINGS PER SHARE	0.121	0.120				

Financial Operation for the period ended September 30, 2025 vs. September 30, 2024 (Unaudited)

Selling expenses decreased by 36.37%, or Php 36.27 million, primarily due to lower marketing and commission costs recognized during the period.

General and administrative expenses increased by 21.22%, or Php29.81 million, due to the adjustment of the salary structure for existing personnel, and other overhead expenses incurred to support company projects.

Finance costs decreased by 78.79%, or Php 7.39 million, primarily due to lower interest expenses resulting from the settlement of certain loan obligations.

Income tax expense decreased by 224.42%, amounting to Php7.66 million, attributed to the income tax holiday incentive granted through Board of Investment.

PART II--OTHER INFORMATION

The following items are the material reports filed by the Company using SEC Form 17-C during the third quarter of the year until the date of this report.

July 30, 2025	Results of Annual Stockholders' Meeting
July 30, 2025	Results of Organizational Meeting of the Board of Directors
August 5, 2025	HTI Recognized as Top Pag-IBIG Partner-Developer HTI, a leading developer of affordable and mid-market housing, was honored as one of the Top 10 Partner-Developers by the Pag-IBIG Fund for the first half of 2025. The citation was presented at the annual Pag-IBIG Fund Stakeholders Accomplishment Report held on August 1 at the Centennial Hall of the Manila Hotel in Ermita, Manila. HTI President, Ma. Rachel D. Madlambayan, received the award on behalf of HTI. The annual event, which celebrates Pag-IBIG'S overall performance and milestones, recognizing top-performing partners who have made significant contributions to the fund's mission of providing housing for Filipinos. The HTI recognition is a testament to its aggressive push to service the underserved affordable housing segment.
October 14, 2025	Approval by the Board of Directors of the following: 1. Issuance of Securities and Exchange Commission - registered fixed rate, Philippine Peso-denominated Bonds ("Bonds") with up to PhP1,000, 000,000.00 base offer and an oversubscription option of up to PhP1,000,000,000.00, and listing of the same with the Philippine Dealing and Exchange Corporation. The Board delegated to the Management the authority to determine the final issue amount, interest rate, offer price, tenors, and other terms and conditions of the Bonds offering, including the appointment of the parties that will be involved in the Bond offering, with the Chairman of the Board and/or the President as the authorized signatories.

	The Board also approved the appointment of Security Bank Capital Investment Corporation as the issue manager, lead underwriter and bookrunner for the public offer, distribution, sale and issuance of the Bonds. 2. Declaration of a cash dividend in the total amount of Php75,000,000.00, equivalent to Php0.03 per common share. The cash dividend shall be taken from the unrestricted retained earnings of the Corporation as of December 31, 2024, to be made available to all stockholders of record as of November 17, 2025 and payable on December 10, 2025.

On November 8, 2025, Haus Talk, Inc. marked another important milestone with the grand launching, blessing, and ribbon cutting of its Project "The Hammond", the newest residential project located in the thriving East area.

The event began with the solemn blessing of The Hammond's model units, led by a priest who invoked prayers for prosperity, safety, and continued success. The blessing symbolized Haus Talk's dedication to building not just houses, but homes founded on faith, hope, and hard work.

The ceremonial ribbon cutting, was led by the Madlambayan family, the founding family behind Haus Talk, Inc. The moment symbolized the company's heritage, values, and continued pursuit of excellence.

Brokers, clients, partner banks, Pag-IBIG Fund officials and representatives from local government graced the occasion, symbolizing the strong partnerships that continue to fuel Haus Talk's growth. Their presence underscored the company's trusted partnerships and its contribution to community growth.

SIGNATURES

Pursuant to the requirements of Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized in Pasig City on November 12, 2025.

HAUS TALK, INC.
Issuer

By:

MARIA RACHEL D. MADLAMBAYAN
President

GLORIA JUDITH D. MADLAMBAYAN
Treasurer

MARIA AGNES M. SIAPNO
Chief Finance Officer & Controller

HAUS TALK, INC. AND ITS SUBSIDIARIES
(Formerly Haus Talk Project Managers, Inc. and its Subsidiary)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
For the 9 Months Period ended September 30, 2025 (Unaudited), September 30, 2024 (Unaudited) and December 31, 2024 (Audited)

General Information

HAUS TALK, INC. (the "Parent Company") was organized under the laws of the Republic of the Philippines and registered with the Securities and Exchange Commission (SEC) per Registration no. CS200409462 on June 21, 2004 under the name of Haus Talk Project Managers, Inc., which was amended on March 15, 2017 under the name of Haus Talk, Inc. Its primary purpose is to invest in real estate, more specifically to acquire land, engage in land and housing development and participate in the government's mass housing program.

On November 18, 2021 and December 23, 2021, the Securities and Exchange Commission (SEC) and Philippine Stock Exchange, Inc. (PSE), respectively, approved the application of the Company for the listing of up to 2,500,000,000 common shares of the Company, which includes the 500,000,000 common shares subject of the Company's Initial Public Offering (IPO), under the Small, Medium and Emerging Board (SME Board) of the PSE.

On January 17, 2022, the Company completed its IPO and was listed in the PSE under the stock symbol "HTI". As a public company, it is covered by the Revised Securities Regulation Code (SRC) Rule 68.1.

The Company was approved by the Board of Investments (BOI) as a New Developer of Economic Housing Project for its Granary - Phase 1, located at Brgy. San Antonio, Biñan City, Laguna. The Income Tax Holiday (ITH) certification bearing the number of 2023-152 valid from August 8, 2023, and four (4) years thereafter provides exemption from income tax on revenue generated and twelve (12) years duty exemption from the said project.

The Company was approved by the Board of Investments (BOI) as an Expanding Developer of Economic Housing Project for its The Granary Phase 2 and The Granary Phase 3, located at Brgy. San Antonio, Biñan City, Laguna. The Income Tax Holiday (ITH) certification bearing the number of 2024-069 and 2024-362 valid from March 22, 2024 and December 16, 2024, respectively, and three (3) years thereafter provides exemption from income tax on revenue generated and twelve (12) years duty exemption from the said projects.

The Parent Company's current registered address is at Unit 701 Orient Square Building, F. Ortigas Avenue, Ortigas Center, Pasig City.

The Parent Company and its subsidiaries are collectively known herein as the "Group".

Tradition Homes, Inc. (referred to as the "Subsidiary or THI"), formerly known as Tradition Homes Project Managers, Inc. before it was amended on December 11, 2017 as Tradition Homes, Inc., was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) per SEC Registration No.CS200700454 on January 16, 2007. The Subsidiary's primary purpose is to invest in real estate, more specifically to acquire land, engage in land and housing development, and participate in the government's mass housing program.

The Subsidiary's current registered address is at Unit 701 Orient Square Building, F. Ortigas Avenue, Ortigas Center, Pasig City.

On January 18, 2018, the Parent Company acquired 100% ownership and control of Tradition Homes, Inc. for an acquisition cost of ₱30,000,000.

THI was approved by the Board of Investments (BOI) as a New Developer of Economic and Low-Cost Housing Project for its Southview Homes – Sta. Rosa, located at Sta. Rosa, Laguna. The Income Tax Holiday (ITH) certification bearing the number of 2019-041 valid from March 6, 2019, and four (4) years thereafter provides exemption from income taxes on revenue generated from the said project.

THI's WINN residences project, a residential condominium project located at Sitio Veterans, Barangay Bagong Silangan, Quezon City, was approved as a Socialized Housing Project by the Housing and Land Regulatory Board (HLURB) and thereby granting the Company exemption from Income Tax, Capital Gains Tax and Value-Added Tax. The certification issued by the HLURB bears the reference number 15-06-038.

Lifestyle Development Corporation (referred to as the "Subsidiary or LDC") was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) per SEC Registration No. A199918322 on November 18, 1999. The Subsidiary's primary purpose is to invest in real estate, more specifically to acquire land, engage in land and housing development, and participate in the government's mass housing program.

The Subsidiary's current registered address is at Unit 701 Orient Square Building, F. Ortigas Avenue, Ortigas Center, Pasig City.

On May 26, 2021, the Parent Company acquired 100% ownership and control of Lifestyle Development Corporation for an acquisition cost of ₱105,737,000.

Cash

Cash includes cash on hand and in banks which are measured at face value.

Cash funds are set aside for current purposes such as petty cash fund. Cash in banks include demand deposits which are unrestricted as to withdrawal.

Cash in bank earns interest at the respective bank deposit rates.

The account consists of:

Particulars		**September 30, 2025**		September 30, 2024		December 31, 2024
Petty cash fund	₱	**1,051,000**	₱	715,000	₱	721,000
Cash in bank		**102,952,213**		73,912,797		243,656,548
Total	₱	**104,003,213**	₱	74,627,797	₱	244,377,548

Receivables

Receivables are amounts due from clients for services performed in the ordinary course of business, if collection is expected in one year or less (or in the normal operating cycle of the business longer), they are classified as current assets. Otherwise, they are presented as non-current assets.

Receivables are measured at the transaction price determined under PFRS 15 (*refer to the accounting policies for Revenue from contract with customers)*. Accounts and other receivables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest rate (EIR) method, less provision for impairment.

The account consists of:

Particulars		**September 30, 2025**		September 30, 2024		December 31, 2024
Installment contracts receivables at amortized cost	₱	**1,940,500,137**	₱	1,785,615,648	₱	1,608,425,255
Receivables at amortized cost from:						
Contractors		**38,807,693**		8,379,969		11,033,388
Officers and employees		**13,266,361**		2,276,110		7,721,999

Suppliers	**1,492,073**	5,074,469	5,747,489
Broker	**4,939,779**	4,054,779	4,509,779
Buyer	**6,323,171**	5,139,929	2,097,893
Others	**109,486,017**	43,553,155	50,816,723
Total	**2,114,815,231**	1,854,094,059	1,690,352,526
Less: Noncurrent portion of installment contract receivables	**112,891,037**	83,231,620	79,928,610
Receivables, current portion	₱ **2,001,924,194**	₱ 1,770,862,439	₱ 1,610,423,916

Installment contract receivables at amortized cost
Installment contracts receivable consists of accounts collectible in equal monthly installments with various terms up to a maximum of fifteen (15) years. These are carried at amortized cost. The corresponding titles to the subdivision units sold under this arrangement are transferred to the buyers only upon full payment of the contract price. The installment contracts receivable are interest-bearing. Annual interest rates on installment contracts receivables range from 12.00% to 18.00%.

Receivables from contractors, suppliers, and brokers
These receivables at amortized cost are non-interest bearing and collectible within one year from the reporting date.

Receivables from buyers
These are post sales expenses due on the buyer. Post sales expense like, water meter, electric post, monthly dues, fire extinguisher, smoke detector, etc. The Company will accommodate first the payment on the expenses incurred to suppliers.

Receivables from officers and employees
These are non-interest bearing and to be liquidated within one year from the reporting date.

Others
Receivable others pertain to advances to other projects and housing overhead, HDMF and home guaranty. These are non-interest bearing and are generally collectible within one year from the reporting date.

None of the receivables were assigned or pledged to secure any of the Company's loans.
In case of default, the Group may cancel the contract with customers and find another buyer of the real estate thus, no allowance for expected credit losses was recognized.

Aging Schedules of Receivables

This account as of September 30, 2025 consists of the following:

	Total	**Neither past due nor impaired**	**1-30 days**	**31-60 days**	**61-90 days**	**over 90 days**
Receivables	1,940,500,137	1,937,347,180	1,515,540	390,024	275,318	972,075
Current	1,827,609,101	1,824,456,143	1,515,540	390,024	275,318	972,075
Noncurrent	112,891,037	112,891,037	-	-	-	-

This account as of September 30, 2024 consist of the following:

	Total	**Neither past due nor impaired**	**1-30 days**	**31-60 days**	**61-90 days**	**over 90 days**
Receivables	1,785,615,648	1,783,063,947	1,259,628	463,141	266,941	561,991
Current	1,702,384,028	1,699,832,328	1,259,628	463,141	266,941	561,991
Noncurrent	83,231,620	83,231,620	-	-	-	-

Real estate inventories

The account consists of:

Particulars		September 30, 2025		September 30, 2024		December 31, 2024
Land for sale and development	₱	**3,188,941,643**	₱	2,590,416,992	₱	2,487,714,684
Residential units and development		**432,525,474**		226,725,845		452,364,910
Model units		**8,546,962**		8,546,962		8,546,962
Total	₱	**3,630,014,080**	₱	2,825,689,799	₱	2,948,626,556

Inventories are stated at the lower of cost and estimated selling price less costs to complete and sell. There was no allowance for impairment of inventories as of September 30, 2025, September 30, 2024 and December 31, 2024.

Land for sale and development represents real estate subdivision projects in which the Group has been granted license to sell by the Housing and Land Use Regulatory Board of the Philippines. It also includes raw land inventories that are under development and those that are about to undergo development.

Real estate inventories recognized as cost of sales are included as cost of real estate sales in the consolidated statements of comprehensive income. Cost of real estate sales includes acquisition cost of subdivision land, amount paid to contractors, development costs, capitalized borrowing costs and other costs attributable to bringing the real estate inventories to its intended condition.

Prepayments and other current assets

Prepayments represent expenses not yet incurred but already paid in cash. Prepayments are initially recorded as assets and measured at the amount of cash paid. Subsequently, these are expensed to profit or loss as they are consumed in the operations or expire with the passage of time.

Prepayments are classified in the company statements of financial position as current assets when they are expected to be expensed within one year. Otherwise, prepayments are classified as non-current.

The account consists of:

Particulars		September 30, 2025		September 30, 2024		December 31, 2024
Prepaid income tax	₱	**813,638**	₱		₱	5,176,380
Prepaid taxes and licenses		**405,049**		966,854		499,187
Input VAT				750,336		264,745
Prepaid rent		**676,992**		2,037,650		253,872
Deferred MCIT		**720,336**				720,336
Prepaid insurance		**26,691**		153,274		64,614
Prepaid interest				656,095		
Creditable withholding tax		**173,460**				
Others		**732,633**		3,421,982		424,547
Total	₱	**3,548,798**	₱	**7,986,191**	₱	**7,403,681**

Input VAT is a tax imposed on purchases of goods and services. These are available for offset against output VAT in future periods.

Prepaid income tax represents excess tax payments and credits over tax liabilities of the immediately preceding taxable period which may be refunded, converted to tax credit certificates, or carried over to the next taxable year.

Prepaid taxes and licenses represent prepayment for taxes as well as local business real property taxes.

Others consist of Maxicare health benefit premiums of employees, billboard rent, design, architectural and planning and miscellaneous supplies.

Advances to related parties

These includes transfer of resources, services or obligations to affiliates, regardless of whether a price is charged. The amount is presented as current assets if collection is expected in one year or less, otherwise, they are presented as non-current assets.

Advances to parties are recognized initially at fair value and subsequently measured at amortized cost using the effective interest rate (EIR) method, less provision for impairment.

Enterprises and individuals that directly, or indirectly through one or more intermediaries, control or are controlled by or under common control with the Company, including holding companies, subsidiaries and fellow subsidiaries, are considered related parties of the Company. Associates and individuals owning, directly or indirectly, an interest in the voting power of the Company that gives then significant influence over the enterprise, key management personnel, including directors and officers of the Company and close members of the family of these individuals, and companies associated with these individuals also constitute related parties. In considering each related party relationship, attention is directed to the substance of the relationship, and not merely the legal form.

Property and equipment

Property and equipment are carried at historical cost less accumulated depreciation and any accumulated impairment in value. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Cost may also include transfers from equity of any gains or losses on qualifying cash flow hedges of foreign currency purchases of property and equipment.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are normally charged to income in the period in which the costs are incurred.

In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

Depreciation on other assets is charged to allocate the cost of assets less their fair value over their estimated useful lives, using the straight-line method. The estimated useful lives range as follows:

Particulars	No. of Years
Office improvement	5
Construction equipment	5
Transportation equipment	5
Furniture and fixture	5
Office equipment	3
Computer software	3
Construction tools	2

Depreciation of property and equipment begins when it becomes available for use (i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation and depletion ceases at the earlier of the date that the item is classified as held for sale in accordance with PFRS 5, *Noncurrent Assets Held for Sale and Discontinued Operations,* and the date the item is derecognized.

The carrying values of property and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The estimated recoverable reserves, useful lives, and depreciation and depletion methods are reviewed periodically to ensure that the estimated recoverable reserves, residual values, periods and methods of depreciation and depletion are consistent with the expected pattern of economic benefits from items of property and equipment. The residual values, if any, are reviewed and adjusted, if appropriate, at each end of reporting period. If there is an indication that there has been a significant change in depreciation and depletion rate, useful life or residual value of an asset, the depreciation of that asset is revised prospectively to reflect the new expectations.

When properties are retired or otherwise disposed of, the cost and related accumulated depreciation and depletion and any allowance for impairment loss are eliminated from the accounts and any resulting gain or loss is credited or charged to the consolidated statements of comprehensive income.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the items) is included in the consolidated statements of comprehensive income in the year the asset is derecognized.

Fully depreciated assets are retained as property and equipment until these are no longer in use.

The movements of property and equipment are as follows:

September 30, 2025

Particulars	Beginning Balances	Additions/ Provisions	Disposals/ Adjustments	**Ending Balances**
Cost:				
Land	₱ 1,019,305,440	₱	₱ -	₱ **1,019,305,440**
Office improvement	3,557,174			**3,557,174**
Office equipment	7,784,102	1,168,737.29		**8,952,840**
Construction equipment	51,323,180	5,969,099		**57,292,279**
Transportation equipment	9,078,968	1,030,267		**10,109,235**
Furniture and fixture	1,373,674	105,594		**1,479,268**
Construction tools	25,598,116	3,260,280		**28,858,396**
Warehouse equipment	182,732	67,857		**250,589**
Temporary facilities	6,996,273			**6,996,273**
Leasehold improvement	3,058,158	3,021,717		**6,079,875**
Right of use Asset	2,419,780			**2,419,780**
Total	₱ 1,130,677,597	₱ 14,623,553	₱	₱ **1,145,301,150**
Accumulated depreciation:				
Office improvement	₱ 3,409,121	₱ 27,194	₱	₱ **3,436,315**
Office equipment	4,765,691	1,234,701		**6,000,392**
Construction equipment	20,746,469	7,004,500		**27,750,969**
Transportation equipment	6,465,240	672,446		**7,137,686**
Furniture and fixture	404,258	199,165		**603,423**
Construction tools	17,286,424	6,134,023		**23,420,447**
Warehouse equipment	104,309	23,543		**127,852**
Temporary facilities	841,006	1,253,880		**2,094,886**
Leasehold improvement		153,825		**511,532**
Right of use Asset	1,209,890	907,418		**2,117,308**
Total	₱ 55,232,408	₱ 17,610,694	₱	₱ **73,200,809**
Net Book Value	₱ 1,075,445,189			₱ **1,072,100,341**

September 30, 2024

Particulars		Beginning Balances		Additions/ Provisions		Disposals/ Adjustments		**Ending Balances**
Cost:								
Land	₱	1,005,141,700	₱	11,749.97	₱	-	₱	**1,005,153,450**
Office improvement		3,375,886		181,287.37				**3,557,173**
Office equipment		6,985,712		181,448.46				**7,167,160**
Construction equipment		33,290,641		18,032,540				**51,323,181**
Transportation equipment		9,078,968						**9,078,968**
Furniture and fixture		962,561		89,685				**1,052,246**
Construction tools		20,473,886						**25,598,118**
Warehouse equipment		139,268						**182,732**
Temporary facilities		440,600		6,555,673				**6,996,273**
Leasehold improvement				3,020,906				**3,020,906**
Total	₱	1,079,889,222	₱	25,040,634	₱		₱	**1,113,130,207**
Accumulated depreciation:								
Office improvement	₱	3,372,915	₱	27,142	₱		₱	**3,400,057**
Office equipment		4,576,735		-243,494				**4,333,241**
Construction equipment		13,427,888		5,089,914				**18,517,802**
Transportation equipment		5,426,918		814,174				**6,241,092**
Furniture and fixture		214,034		137,233				**351,267**
Construction tools		6,169,305		9,178,427				**15,347,732**
Warehouse equipment		75,045		22,358				**97,403**
Temporary facilities		88,120		615,012				**703,132**
Total	₱	33,350,960	₱	15,640,766	₱		₱	**48,991,726**
Net Book Value	₱	1,046,538,262					₱	**1,064,138,480**

December 31, 2024

Particulars		Beginning Balances		Additions/ Provisions		**Ending Balances**
Cost:						
Land	₱	1,005,141,700	₱	14,163,740	₱	**1,019,305,440**
Office improvement		3,375,886		181,288		**3,557,174**
Office equipment		6,985,712		2,134,339		**9,120,051**
Construction equipment		33,290,641		18,032,539		**51,323,180**
Transportation equipment		9,078,968		-		**9,078,968**
Furniture and fixture		962,561		411,113		**1,373,674**
Construction tools		20,473,886		5,124,230		**25,598,116**
Warehouse equipment		139,268		43,464		**182,732**
Temporary facilities		440,600		6,555,673		**6,996,273**
Leasehold improvement		-		3,058,158		**3,058,158**
Right of use Asset		-		2,419,780		**2,419,780**
Total		1,079,889,222	₱	52,124,324		**1,132,013,546**
Accumulated depreciation:						
Office improvement		3,372,915	₱	36,206	₱	**3,409,121**
Office equipment		4,576,735		1,524,905		**6,101,640**
Construction equipment		13,427,888		7,318,581		**20,746,469**

Transportation equipment	5,426,918	1,038,322	**6,465,240**
Furniture and fixture	214,034	190,224	**404,258**
Construction tools	6,169,305	11,117,119	**17,286,424**
Warehouse equipment	75,045	29,264	**104,309**
Temporary facilities	-	752,886	**841,006**
Right of use Asset	88,120	1,209,890	**1,209,890**
Total	33,350,960	₱ 23,217,397	**56,568,357**
Net Book Value	₱ 1,046,538,262		₱ **1,075,445,189**

Other non-current assets

The account consists of:

Particulars	**September 30, 2025**	September 30, 2024	December 31, 2024
Refundable deposits	₱ **10,195,441**	₱ 10,070,875	₱ 10,204,135
Deferred tax assets	**9,509,404**	3,515,454	9,509,404
Security deposits	**1,412,711**	1,412,711	1,414,298
Other deposit	**9,408,000**	9,408,000	9,408,000
Total	₱ **30,525,557**	₱ 24,407,040	₱ 30,535,837

Refundable deposits pertain to utilities and security deposits which are measured at cost and will be recovered against future billings.

Other deposit pertains to computer software that is still under implementation

Accounts and other payables

The account consists of:

Particulars	**September 30, 2025**	September 30, 2024	December 31, 2024
Trade payables	₱ **88,260,957**	₱ 123,932,777	₱ 139,460,458
Accrued expenses	**7,745,429**	93,526,975	
Retention payable	**49,191,628**	30,939,957	37,109,687
Customer deposits	**13,959,997**	42,824,132	38,015,175
Government liabilities	**6,768,774**	4,654,501	3,389,203
Other liabilities	**1,539,156**	16,854,528	17,448,084
Total	₱ **167,465,941**	₱ 312,732,869	₱ 235,422,607

Trade payables
Trade payables represents payable to suppliers for the purchase of construction materials, marketing collaterals, office supplies and property and equipment ordered and delivered but not due. These are expected to be settled within a year after the financial reporting date.

Customer deposits
Customer deposits consist mainly of collections from real estate customers which will be applied the contract price.

Retention payable
Retention payable pertains to contract payments is being withheld from the third party as guaranty for any claims against them. These are settled and paid once period has expired.

Government liabilities
Government liabilities include statutory contributions and withholding taxes and are normally settled within one year after the reporting date.

Other liabilities
Other liabilities include payment to buyer for refund of construction bond, Meralco services and installment payment made by the buyer subject to the provision of Republic Act 6552 (Realty Instalment Buyer Protection Act), various non-trade dues from utilities, professional fees and other services.

Loans and borrowings

Bridge Loan – Financing and Individual Corporation

The Company availed a financing loan from various individuals and corporations to be used exclusively to partially finance its land acquisition activities, with details as follows:

The Group borrowed a loan total of ₱70,000,000 with a term of two (2) years with an interest rate of 12.50% and (3) years with an interest rate of 15%. The drawdown was made on October 17, 2024 and August 05, 2025 amounting to ₱35,000,000 and ₱35,000,000 respectively. The loan is secured by share collaterals owned by and registered under the names of each or both of Terence Restituto D. Madlambayan and Rachel D. Madlambayan, equivalent to a total of 126,000,000 shares.

The Group borrowed a loan amounting to ₱30,000,000 with a term of two (2) years and an interest rate of 12%. The loan is unsecured.

The Group borrowed a loan total of ₱128,000,000 with a term of one (1) to two (2) years with an interest rate of 12.0% to 12.50% and (3) years with an interest rate of 15%. The drawdown was made on October 28, 2024, November 08, 2024, December 19, 2024, April 04, 2025, April 11, 2025, May 14, 2025 and August 01, 2025 amounting to ₱20,000,000, ₱8,000,000, ₱20,000,000, ₱30,000,000, ₱10,000,000, ₱10,000,000 and ₱30,000,000 respectively. The loan is secured by share collaterals owned by and registered under the names of each or both of Terence Restituto D. Madlambayan and Rachel D. Madlambayan, equivalent to a total of 160,000,000 shares.

The Group borrowed a loan total of ₱181,000,000 from Atram Trust Corporation with a term of one (1) to two (2) years with an interest rate of 11%. The drawdown was made on May 20, 2025, May 29, 2025, July 10, 2025, and August 22, 2025 amounting to ₱90,000,000, ₱10,000,000, ₱21,000,000 and ₱60,000,000 respectively. The loan is secured by 108,600 sqm., property located in Mariveles Bataan.

Asia United Bank - Term Loan
On February 10, 2023, the Group obtained a Credit Facility One (1) from Asia United Bank amounting to ₱60,000,000 with three (3) years term maturing on April 16, 2026. Where the first drawn dated April 14, 2023 amounting to ₱50,000,000 and the final release of ₱10,000,000 dated August 16, 2023. Secured with a registered real estate mortgage over two (2) properties located at Celestis 1 Lot 4-B along Buliran Road, Brgy. San Luis, Antipolo Rizal and Celestis 2 Lot 2 along Buliran Road, Brgy. San Luis, Antipolo, Rizal together with all improvements/appurtenant thereto, under Transfer Certificate of Title (or its subdivided titles) No. 163-2018007548 (5.25sqm) and Transfer Certificate of Title (or its subdivided titles) No. 163-2018008000 (7,963sqm) named under the Company and Comprehensive Surety Agreement executed by Maria Rachel Madlambayan.

China Banking Corporation
The following loan agreements are entered into by the Group with China Banking Corporation:

Straight Loan
In December 2024, the Parent Company obtained a straight loan from China Bank amounting to ₱35,000,000 and ₱15,000,000 with maturity due at December 3, 2025. The loan has an interest rate of 7.63%.

Term Loan
On August 21, 2024, the Group secured a term loan facility from China Banking Corporation of up to ₱100,000,000. The proceeds shall be used to partially finance the land acquisition cost for the 1.65-hectares Amberwood Project and to partially finance the land development cost. On September 9, 2024 the initial drawdown was made amounting to ₱65,000,000 with a term of four (4) years and interest rate of 7.4069% to partially finance the land acquisition cost for the Project. Secured with mortgaged properties as a collateral under TCT No.: T-93608 and (060-T-94742) 170-0002896 with a lot area of 10,000 sqm and 6,486 sqm, respectively.

Contract to Sell Purchase Facility
On July 27, 2018, the Group has been granted by China Banking Corporation of a Contract to Sell Purchase Facility (CTSPF) in the amount of ₱100,000,000 for the purpose of liquefying the accounts receivable arising from the installments still payable by the Group buyers under their respective Contracts to Sell (CTS). Whereas in consideration for the bank, the Company has assigned in favor of the Bank all the buyers' rights, interests and participation in their CTS balances in which the assignment shall be with recourse against the Company.

The following loan agreements are entered into by the Subsidiary Company with China Banking Corporation:

Contract to Sell Purchase Facility
On July 27, 2018, THI has been granted by China Banking Corporation of a Contract to Sell Purchase Facility (CTSPF) in the amount of ₱100,000,000 for the purpose of liquefying the accounts receivable arising from the installments still payable by THI's buyers under their respective Contracts to Sell (CTS). Whereas in consideration for the bank, THI has assigned in favor of the Bank all the buyers' rights, interests and participation in their CTS balances in which the assignment shall be with recourse against THI.

<u>Sterling Bank of Asia</u>
The following loan agreements are entered into by the Parent Company with Sterling Bank of Asia:

Term Loan
On October 26, 2023, the Parent Company obtained a term loan from Sterling Bank amounting to ₱45,000,000 payable in sixty (60) months inclusive of one (1) year grace period on principal, with the purpose to reimburse the acquisition cost of the 16,041 sqm lot area located along Hinapao-Tacbac Road, Brgy. San Jose, Antipolo City, Rizal. The loan has an interest rate based on prevailing bank rate, fixed for one (1) year and subject to annual repricing.

A Real Estate Mortgage amounting to ₱45,000,000 was registered as a collateral for the titles: TCT Nos. 163-2019001804, 163-2019001803 and 163-2023000429 to be transferred in the name of the Parent Company.

Contract-to-Sell (CTS) Financing Line
On March 12, 2019, the Parent Company availed of the Contract-to-Sell Financing Line by Sterling Bank of Asia with one (1) year availability with renewability, for the financing sale of house and lots from the housing projects of Celestis 1 and 2, Eastview Premiere and The Granary. Each sale of house and lots financed by Sterling Bank is secured with the Deed of Assignment of the Contract to Sell (CTS) which will cover the outstanding balance or the principal amount int the CTS, whichever is lower. Repayment shall be made in equal monthly amortization (principal and interest) payable in arrears to start one (1) month from the release date of loan. On December 7, 2023, the bank granted line increased in the amount of ₱100,000,000 having the Parent Company total amount of ₱200,000,000 Contract-to-Sell Financing Line (with recourse).

The following loan agreements are entered into by the Subsidiary Company with Sterling Bank of Asia:

Contract-to-Sell Financing Line
On March 12, 2019, THI availed of the Contract-to-Sell Financing Line by Sterling Bank of Asia with one (1) year availability with renewability, for the financing sale of house and lots from the housing projects of Southview Homes – Sta. Rosa and Southview Homes – Calendola. Each sale of house and lots financed by Sterling Bank is secured with the Deed of Assignment of the Contract to Sell (CTS) which will cover the outstanding balance or the principal amount in the CTS, whichever is lower. Repayment shall be made in equal monthly amortization (principal and interest) payable in arrears to start one (1) month from the release date of loan. On December 7, 2023, the bank granted line increased in the amount of ₱100,000,000 having the Company total amount of ₱200,000,000 Contract-to-Sell Financing Line (With Recourse).

Security Bank Corporation
The following loan agreements are entered into by the Parent Company with Security Bank Corporation:

Term Loan
On December 22, 2024, the Parent Company obtained a term loan from Security Bank Corporation amounting to ₱200,000,000 with five (5) years term inclusive of one (1) year grace period on principal, with the purpose to partially reimburse its additional 7.5-hectare property under Cluster B to D located at Subdivision Road, St. Francis Subdivision XV, San Antonio, Biñan City, Laguna. The loan has a prevailing bank lending rate, subject to periodic pricing to be set on either monthly, quarterly, semi-annual or annual basis.

On April 2, 2024, the Parent Company obtained a term loan from Security Bank Corporation amounting to ₱80,000,000 with five (5) years term. The loan has an interest rate of 8%.

On June 28, 2024, the Parent Company obtained a term loan from Security Bank Corporation amounting to ₱100,000,000 with five (5) years term. The loan has an interest rate of 8%.

A Real Estate Mortgage for the loan was registered as a collateral with the following titles (Cluster B to D):

Cluster B	T-534478 to T-534508, T-5345109, T-534510 to T-534567, T-534569, T-534571, T-534573, T-534575, T-534577, T-534579, T-534581, T-534583, T-534585, T-534587, T-534589, T-534593, T-534595, T-534597, T-534599, T-534601 to T-534602, T-534604, T,534606, T-534608 to T-534610, T-534612, T-534591, T-534899 to T-534901, T-534904 to T-534906
Cluster C	T-534568, T-534570, T-534572, T-534574, T-534576, T-534578, T-534580, T-534582, T-534584, T-534586, T-534588, T-534590, T-534592, T-534594, T-534596, T-534598, T-534600, T-534603, T-534605, T-534607, T-534611, T-534613 to T-534637, T-534638 to T-534689, T-534690, T-534714, T-534716, T-534718, T-534720, T-534722, T-534724, T-534726, T-534728, T-534730, T-534732, T-534734, T-534736, T-534740, T-534742, T-534744, T-543746, T-534748, T-534750, T-534752, T-534754, T-534756, T-534758, T-534760, T-534738, T-534907 to T-534909, T-170-2023001598 to T-170-2023001599
Cluster D	T-534715, T-534717, T-534719, T-534721, T-534723, T-534725, T-534727, T-534729, T-534731, T-534733, T-534735, T-534737, T-534739, T-534741, T-534743, T-534745, T-534747, T-534749, T-534751, T-534753, T-534755, T-534757, T-534759, T-534761 to T-534774, T-534798 to T-534814, T-534775 to T-534794, T-534822 to T-534898, T-534902, T-534910 to T-534915, T-534919

On April 25,2025, the Parent Company has been approved by Security Bank Corporation of a term loan in the amount of ₱500,000,000, with the purpose to partially support the acquisition of a 12.56-hectare land in Antipolo, Rizal owned by National Steel. On June 4, 2025 the drawdown was made amounting to ₱500,000,000 with five (5) years term inclusive of one (1) year grace period on principal payment. The loan has a fixed/floating rate, subject to periodic pricing to be set on either monthly, quarterly, semi-annual or annual basis.

Contract to Sell Credit Facility
On June 19, 2024, the Parent Company has been approved by Security Bank Corporation of a Purchase of Contract Receivables under Contract to Sell with Recourse for regular/in-house and bridge financing in the amount of ₱500,000,000, for the purpose of liquefying receivables from all their residential projects. Collateral documents for the financing are the Deed of Purchase of Receivables and Contract to Sell. The term for regular/in-house financing is co-terminus with the maturity of the CTS or maximum of fifteen (15) years, whichever comes early. Repayment shall be made in equal monthly amortization of principal and interest. The maximum term for bridge financing is twenty-four (24) months payable in interest only while receivables are being bridged finance on a monthly basis. The entire principal is payable upon conversion to home loan or at the end of the term, whichever comes earlier. In May 2025, the bank granted line increased in the amount of ₱500,000,000 having the Company total amount of ₱1,000,000,000 Contract-to-Sell Credit Facility with Recourse.

There were no breaches of loan agreement terms such as any defaults of principal and interest of these loan borrowings during the period.

Defined benefit obligation

The Group does not maintain retirement fund but accrues and recognizes its actuarial estimate to conform with the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the final salary defined type and provides a retirement benefit equal to 22.5 days pay per every year of credited service. The regulatory benefit is paid in a lump sum upon retirement. In accordance with the provisions of the Labor Code, the Group is required to pay eligible employees at least the minimum regulatory benefit upon retirement, subject to age and service requirements.

Related Party Transactions

Enterprises and individuals that directly, or indirectly through one or more intermediaries, control or are controlled by or under common control with the Company, including holding companies, subsidiaries and fellow subsidiaries, are considered related parties of the Company. Associates and individuals owning, directly or indirectly, an interest in the voting power of the Company that gives then significant influence over the enterprise, key management personnel, including directors and officers of the Company and close members of the family of these individuals, and companies associated with these individuals also constitute related parties. In considering each related party relationship, attention is directed to the substance of the relationship, and not merely the legal form.

Receivable from and payable to affiliates and stockholders

Receivable from and payable to affiliates represent trade receivables and payables in ordinary course of business. These are unsecured, non-interest bearing, cash settlement and are payable upon mutual agreement of both parties.

Share Capital

As of September 30, the account consists of:

	2025			2024		
Particulars	**No. of shares**		**Amount**	No. of shares		Amount
Authorized ₱1.00 par Balance at beginning and end of year	**2,500,000,000**	₱	**2,500,000,000**	2,500,000,000	₱	2,500,000,000
Issued and Outstanding Balance at beginning and end of year	**2,500,000,000**	₱	**2,500,000,000**	2,000,000,000	₱	2,000,000,000

Issuance of Capital Stock
On December 23, 2021, the SEC approved the Initial Public Offering of the Company of 500,000,000 common shares at an Offer Price of ₱1.50, with a par value of ₱1.00 per share. Offer shares were approved for listing on January 17, 2022.

Listing Under Small, Medium and Emerging Board (SME) of the PSE
On November 18, 2021 and December 2, 2021, the Securities and Exchange Commission (SEC) and Philippine Stock Exchange, Inc. (PSE), respectively, approved the application of the Company for the listing of up to 2,500,000,000 common shares of the Company, which includes the 500,000,000 common shares subject of the Company's Initial Public Offering (IPO), under the Small, Medium and Emerging Board (SME Board) of the PSE.

On January 17, 2022, the Company completed its IPO and was listed in the PSE under the stock symbol "HTI".

Share Premium

As of September 30, the movements of additional paid-in capital are as follows:

		2025		2024
At January 1	₱	**218,849,628**	₱	218,849,628
Share premium on common shares issued during the year				
Gross proceeds		**-**		-
Less: Directly attributable issuance costs		**-**		-
Par value of issued shares		**-**		-
Subtotal		**218,849,628**		218,849,628
End	₱	**218,849,628**	₱	218,849,628

Share premium arises when the amount subscribed is in excess of nominal value.

Retained earnings

Retained earnings represent the cumulative balance of periodic net income and losses of the Group, net of dividends declared.

Retained earnings represents the cumulative balance of periodic net income or loss, prior period adjustments, effect of changes in accounting policies in accordance with PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* and other capital adjustments, net of any dividend declaration.

When retained earnings account has a debit balance, it is called “deficit”, and presented as a deduction from equity.

Revenue recognition

Revenue from contract with customers

Revenue from contract with customers is recognized at a point in time when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for the goods or services. The Group applies this standard with its revenue arrangements on the sale of land and residential house units with modified home improvements

To determine whether to recognize revenue, the Group follows a five-step process:

1. identifying the contract with a customer:
2. identifying the performance obligation;
3. determining the transaction price;
4. allocating the transaction price to the performance obligations; and,
5. recognizing revenue when/as performance obligations are satisfied.

For Step 1 to be achieved, the following gating criteria must be present:

- the parties to the contract have approved the contract either in writing, orally or in accordance with other customary business practices;
- each party’s rights regarding the goods or services to be transferred or performed can be identified;
- the payment terms for the goods or services to be transferred or performed can be identified;
- the contract has commercial substance (i.e., the risk, timing or amount of the future cash flows is expected to change as a result of the contract; and,
- collection of the consideration in exchange of the goods and services is probable.

Revenue is recognized only when (or as) the Group satisfies a performance obligation by transferring control of the promised goods or services to a customer. The transfer of control can occur over time or at a point in time.

A performance obligation is satisfied at a point in time unless it meets one of the following criteria, in which case it is satisfied over time:

- the customer simultaneously receives and consumes the benefits provided by the Group's performance as the Group performs;
- the Group's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; and,
- the Group's performance does not create an asset with an alternative use to the Group and the entity has an enforceable right to payment for performance completed to date.

The transaction price allocated to the performance obligations satisfied at a point in time is recognized as revenue when control of goods or services transfers to the customer. As a matter of accounting policy when applicable, if the performance obligation is satisfied over time, the transaction price allocated to that performance obligation is recognized as revenue as the performance obligation is satisfied.

Real estate sales
The Group recognizes sales to the contracts with customer when the performance obligation has been fulfilled and the related contract revenue has been recognized as earned. These include sale of subdivision land and residential units.

Forfeitures and cancellation of real estate contracts
Income from forfeited reservation and collections is recognized when the deposits from potential buyers are deemed non-refundable due to prescription of the period for entering into a contracted sale.

Other income
Other income is recognized in the statements of comprehensive income as they are earned.

Interest income
Interest income is recognized using effective interest accrues using effective interest method.

Contract balances

Receivable from customers
A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

Contract assets
A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

Contract liabilities
A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. Contract liabilities are recognized as revenue when the Group performs under the contract.

Cost to obtain contract
The incremental costs of obtaining a contract with a customer are recognized as an asset if the Group expects to recover them.

Costs and expenses recognition

Cost and expenses are decreases in economic benefits during the accounting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decreases in equity, other than those relating to distributions to equity participants.

Costs and expenses are recognized in profit or loss in the consolidated statements of comprehensive income:

- on the basis of a direct association between the costs incurred and the earning of specific items of income;
- on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association can only be broadly or indirectly determined; or
- immediately when expenditures produce no future economic benefits or when, and to the extent that, future economic benefits do not qualify or cease to qualify, for recognition in the consolidated statement of financial position as an asset.

Real estate sales

The account consists of the following:

For the nine (9) months ended September 30, 2025, 2024, and December 31, 2024, the account consists of residential house and lot amounting to ₱ 1,201,062,150, ₱ 1,190,558,655, ₱1,401,027,854, respectively.

Other operating income

Particulars		**September 30, 2025**		September 30, 2024		December 31, 2024
Interest income – in house financing	₱	**7,379,052**	₱	7,281,377	₱	10,716,075
Forfeiture income		**290,000**		240,000		510,000
Miscellaneous income		**1,109,754**		876,044		1,264,933
Total	₱	**8,778,805**	₱	8,397,421	₱	12,491,008

Cost of Real Estate Sales

The Group recognizes costs related to the contracts with customer when the performance obligation has been fulfilled and the related contract revenue has been recognized as earned. These include cost of land, land development costs, building cost, professional fees, depreciation, permits and licenses, and capitalized borrowing costs.

The account consists of the following:

Particulars		**September 30, 2025**		September 30, 2024		December 31, 2024
Land cost development	₱	**204,099,591**	₱	187,875,147	₱	202,192,693
Construction cost		**425,894,452**		412,301,842		536,364,761
Other cost		**30,424,851**		46,099,095		34,047,388
Total	₱	**660,418,895**	₱	646,276,084	₱	772,604,842

Selling, administrative, and other operating expenses

Selling expenses are costs incurred to sell or distribute inventories. Administrative expenses normally include costs of administering the business as incurred by administrative departments. Other operating expenses are costs incurred other than for selling or administrative purposes.

The account consists of the following:

Particulars	**September 30, 2025**	September 30, 2024	December 31, 2024
Advertising and promotion	₱ **5,987,874**	₱ 6,361,867	₱ 21,106,282
Commissions	**57,474,617**	93,367,892	44,168,587
	63,462,492	99,729,759	65,274,869

General and administrative expenses

The account consists of the following:

Particulars	**September 30, 2025**	September 30, 2024	December 31, 2024
Salaries, wages and allowances	₱ **97,287,455**	64,496,832	₱ 94,250,215
Processing, registration, listing, certification & other fees	**7,604,318**	13,275,327	13,530,773
Professional fees	**10,366,948**	9,866,782	12,716,173
Taxes and licenses	**10,710,386**	10,794,268	14,834,252
Depreciation	**10,672,651**	7,871,837	12,189,667
Interest expense	**10,251,004**	12,802,299	
Rent expense	**2,137,535**	4,241,799	1,020,534
Miscellaneous expenses	**8,805,490**	8,570,819	18,751,004
Repairs and maintenance	**3,010,551**	2,681,260	3,420,764
Dues, subscriptions and donations	**1,883,542**	2,165,514	2,936,372
Utilities	**2,106,591**	1,718,120	2,390,642
Stationery and office supplies	**1,097,134**	965,093	1,254,274
Transportation and travel	**797,810**	684,763	885,347
Insurance expense	**3,560,381**	347,826	483,326
Retirement expense			2,412,802
Total	₱ **170,291,796**	₱ 140,482,538	₱ 181,076,145

Miscellaneous expenses consist of administrative expenses, processing, registration and certificate fees, notarization fees, bank charges, and other miscellaneous expenses.

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